# Home Loan Product Guide

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This is a synthetic document created for software testing (RAG evaluation). Meridian National Bank is a fictional institution; all figures, names and policies are invented.

## 1. Key Features

MNB Home Loans finance the purchase, construction, extension or repair of residential property in India. Loans are linked to the MNB External Benchmark Lending Rate (EBLR), currently 8.65% per annum, which is aligned to the RBI repo rate.

| Feature | Details |
|---|---|
| Interest rate | EBLR + spread of 0.45% to 2.10% depending on CIBIL score, loan size and employment category (effective range 9.10% to 10.75%) |
| Loan-to-value (LTV) | Up to 90% for loans of INR 30 lakh or less; up to 80% for loans between INR 30 lakh and INR 75 lakh; up to 75% above INR 75 lakh |
| Maximum tenure | 30 years, subject to borrower age 70 at maturity |
| Processing fee | 0.50% of loan amount + GST, capped at INR 15,000 + GST |
| Prepayment | Nil for floating-rate loans to individuals; 2% for fixed-rate loans |
| Reset of spread | Spread may be revised only at borrower's credit-score-linked review once every 12 months |

## 2. Women and Special Category Concession

A concession of 0.05% on the spread is available to women primary borrowers and to serving defence personnel. The concession cannot be combined with the pre-approved loan offer concession of 0.10%.

## 3. Eligibility

- Age 21 to 65 years at application for salaried; 25 to 70 years for self-employed.
- Minimum net monthly income of INR 30,000 (single applicant) or INR 40,000 (joint applicants).
- Co-applicant is mandatory when the property is jointly owned, and a spouse or parent may be added as co-applicant to improve eligibility.
- CIBIL score of 725 or above preferred; 680 to 724 considered with a higher spread.

## 4. Property and Legal Due Diligence

MNB conducts title verification through an empanelled advocate and technical valuation through an approved valuer. Properties must have a clear and marketable title, approved building plan, and (for under-construction projects) RERA registration. The legal and technical verification charge is INR 5,000 to INR 12,000 depending on the property value, payable upfront and non-refundable.

## 5. Disbursement

For ready properties, the loan is disbursed in a single payment to the seller after registration of the sale deed. For under-construction properties, disbursement is stage-wise as per the builder's construction-linked payment plan, and pre-EMI interest is payable on the amount disbursed until the possession date.

## 6. Tax Benefits (for information only)

Borrowers may be eligible for deductions on interest (Section 24(b)) up to INR 2,00,000 per financial year for a self-occupied property and on principal repayment under Section 80C up to INR 1,50,000, subject to the prevailing tax regime. Customers should consult a tax adviser.

## 7. Insurance

Property insurance covering fire and allied perils is mandatory for the loan tenure. Loan protection (term life) insurance is optional and must not be sold as a condition of the loan.